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JUN 11 1987

REGULAR (112) PERMIT  
APPLICATION FORMMINED LAND  
RECLAMATION DIVISION

This form contains two major parts: (1) General Operation Information and (2) Exhibits A-P. When you submit your application, be sure to include four signed copies of the General Operation Information, four copies of Exhibits A-P, and a check for the application fee described under (4) below. To expedite processing, please provide the information in the format and order described in this form.

*M-77-341 \$122.50 CR 1050*  
*Rec'd 6/14/87*

## GENERAL OPERATION INFORMATION

Type or print clearly, in the space provided, all information described below.

1. Applicant/Operator Name: Southwestern Portland Cement Co.
2. Operation Name (Pit, mine or site name): Parrish Quarry
3. Application type: Regular (112) Permit Operation.
4. Application Fee for Permitted Acreage\* 12.8 permitted acres.  
 (\$50.00 + \$15.00/acre, 1st. 50 acres;  
 \$10.00/acre, 2nd. 50 acres; \$5.00/acre, 3rd. 50 acres;  
 \$1.00/acre, any additional acreage; maximum fee of  
 \$2,000.00).\*  
 Note permitted acreage and application fee and  
 attach a check for this amount when you file. \$122.50 application fee.
5. Substance(s) to be mined (e.g., gold/silver/gravel): Limestone
6. Owners(s) of Substance to be Mined  
 (check applicable box(s)): ☒ Private ☐ State ☐ Federal ☐ Indian
7. Owner(s) of Record of Affected Land  
 (check applicable box(s)): ☒ Private ☐ State ☐ Federal ☐ Indian
8. Type of Mining Operation  
 (check applicable box(s)): ☒ Surface ☐ Underground ☐ In-situ
9. Location Information. The center of the area where the majority of mining will occur lies in:

COUNTY: LarimerPRINCIPLE MERIDIAN (check one): ☒ 6th (Colorado) ☐ 10th (New Mexico) ☐ UteTOWNSHIP (write number and check direction): T 4 ☒ North ☐ SouthRANGE (write number and check direction): R 70 ☐ East ☒ WestSECTION (write number): S 35QUARTER SECTION (check one): ☐ NE ☐ NW ☐ SE ☒ SWQUARTER/QUARTER SECTION (check one): ☐ NE ☐ NW ☒ SE ☐ SW

GENERAL DESCRIPTION:

(miles and direction 7 miles southwest of Berthoud, Colorado  
 from nearest town and on Wagonwheel Road  
 approximate elevation EL 5375

\* If the operator is a unit of State or county government, an application fee is not required. A fraction of an acre must be counted as one acre for fee calculation.

10. Correspondance Information

APPLICANT/OPERATOR (name, address, and phone of name to be used on permit)

Individual's Name: Marvin L. Berg, P.E.  
Company Name: Southwestern Portland Cement  
Street: P. O. Box 529  
City: Lyons  
State: Colorado Zip Code: 80540  
Area Code: 303 Telephone: 534-4206

PERMITTING CONTACT (if different from applicant/operator above)

Individual's Name: \_\_\_\_\_  
Company Name: \_\_\_\_\_  
Street: \_\_\_\_\_  
City: \_\_\_\_\_  
State: \_\_\_\_\_ Zip Code: \_\_\_\_\_  
Area Code: \_\_\_\_\_ Telephone: \_\_\_\_\_

INSPECTION CONTACT (if different from applicant/operator above)

Individual's Name: Marvin L. Berg, P.E.  
Company Name: Southwestern Portland Cement  
Street: P. O. Box 529  
City: Lyons  
State: Colorado Zip Code: 80540  
Area Code: 303 Telephone: 534-4206

11. Primary future land use (check one):  
☐ Cropland(CR) ☐ Pastureland(PL) ☐ General Agriculture(GA)  
☒ Rangeland(RL) ☐ Forestry(FR) ☐ Wildlife Habitat(WL)  
☐ Residential(RS) ☐ Recreation(RC) ☐ Industrial/Commercial(IC)  
☐ Developed Water Resources(WR) ☐ Solid Waste Disposal(WD)
12. Primary present land use (check one):  
☐ Cropland(CR) ☐ Pastureland(PL) ☐ General Agriculture(GA)  
☒ Rangeland(RL) ☐ Forestry(FR) ☐ Wildlife Habitat(WL)  
☐ Residential(RS) ☐ Recreation(RC) ☐ Industrial/Commercial(IC)  
☐ Developed Water Resources(WR)

To the best of my knowledge, all the information presented on this application form and the attached Exhibits A-P are true and correct (must be signed by applicant/operator).

Date: June 4, 1987

By: Marvin L Berg  
Quarry Superintendent  
Title

APPLICATION FOR ITEM REQUIRING SPECIAL REVIEW

Petitioner Southwestern Portland Cement  
Address P. O. Box 529, Lyons, CO 80540 Phone (303) 823-6685  
Interest in Property Mining Limestone  
Name of Owner of Record (if other than Petitioner) Jesse L. & Donna L. Parrish  
Existing County Zoning "O" Open District  
Specific Request Extend existing mining plan to include 12.8 additional acres  
Legal Description of Property: \*See Attachment

Statement(s) outlining major points of request indicating how potential problems and requirements may be met: \* See mining operation criteria for zoning requests

APPLICATION PROCEDURE:

1. It is recommended that the Petitioner consult with the Larimer County Planning Department prior to filing this application.
2. The following must be submitted to the Larimer County Planning Department:
  - a. Scaled drawing of the total property, showing existing and proposed structures, buildings, roads, parking, and other facilities (five copies or more as requested by staff). Scale 1"=200'
  - b. Completed application form (five copies).
  - c. Written legal description of the property (one copy).
  - d. List of names and addresses of all property owners of record within 500 feet of the subject property (one copy).
  - e. A fee of \$165, which includes the cost of legal advertising, postage, notification sign, and the review by County staff.
  - f. A vicinity map (scale of 1"=2000'), showing where the property is located in relation to County roads, rivers, natural features, etc. County zoning map or USGS quad map is acceptable (five copies).
3. Submittal deadlines and hearing dates are indicated on the attached schedule. Recommendation of the Larimer County Planning Commission is made to the Board of County Commissioners, which makes the final decision on the application.
4. The application is reviewed by Larimer County staff and other interested agencies. It may also be reviewed by any municipality which is within three miles of the subject property.
5. The petitioner must post a notification sign in a conspicuous place on the subject property, as instructed by the Planning Department. This sign is provided to the applicant at the time the application is submitted.

I have read the within application, and hereby affirm that all facts recited herein are true.

SIGNATURE Marvin S. Berg DATE May 14, 1987

\*If additional space is needed, use reverse side or attachments.

EXHIBIT "A"

LEGAL DESCRIPTIONS

ORIGINAL LEGAL DESCRIPTION

### LEGAL DESCRIPTION

Martin Marietta, Western Division, Larimer County Quarry, is located approximately seven miles southwest of Berthoud, Colorado and approximately four miles south of Carter Lake. This property is located in the extreme southern part of Larimer County along Wagon Wheel Road. All of the property lies in Township 4N, Range 70W. The following is a description by section of the property. Bearings and distances are taken from a survey by Gremillion & Panetta, dated June 23, 1972.

#### Section 35

445.3 acres in the N $\frac{1}{2}$  of Section 35, T4N, R70W and the N $\frac{1}{2}$  of the S $\frac{1}{2}$  of Section 35, T4N, R70W described as follows: beginning at the NW corner of Section 35, T4N, R70W; thence along east-west section line S 89° 31'05" E, 2545.23' to the N $\frac{1}{4}$  corner Sec. 35, thence S 89° 37'25" E, 580 ft.; thence S 78° 47'15" E, 844.0'; thence S 88° 37'15" E, 188.0 ft.; thence N 80° 22'45" E, 545.0 ft.; thence N 83° 02'45" E, 345 ft.; thence N 86° 06'35" E, 71.36 ft. to a pt. 18 ft. S 0° 10'15" E of the NE corner of Section 35; thence S 0° 10' 05" E, 2677.64 ft. to the E  $\frac{1}{4}$  corner of Section 35; thence S 0° 13'30" E, 1318.25'; thence N 88° 25'45" W, 4788.44 ft.; thence N 4° 38'55", 3932.70 ft. to the pt. of origin.

#### Section 36

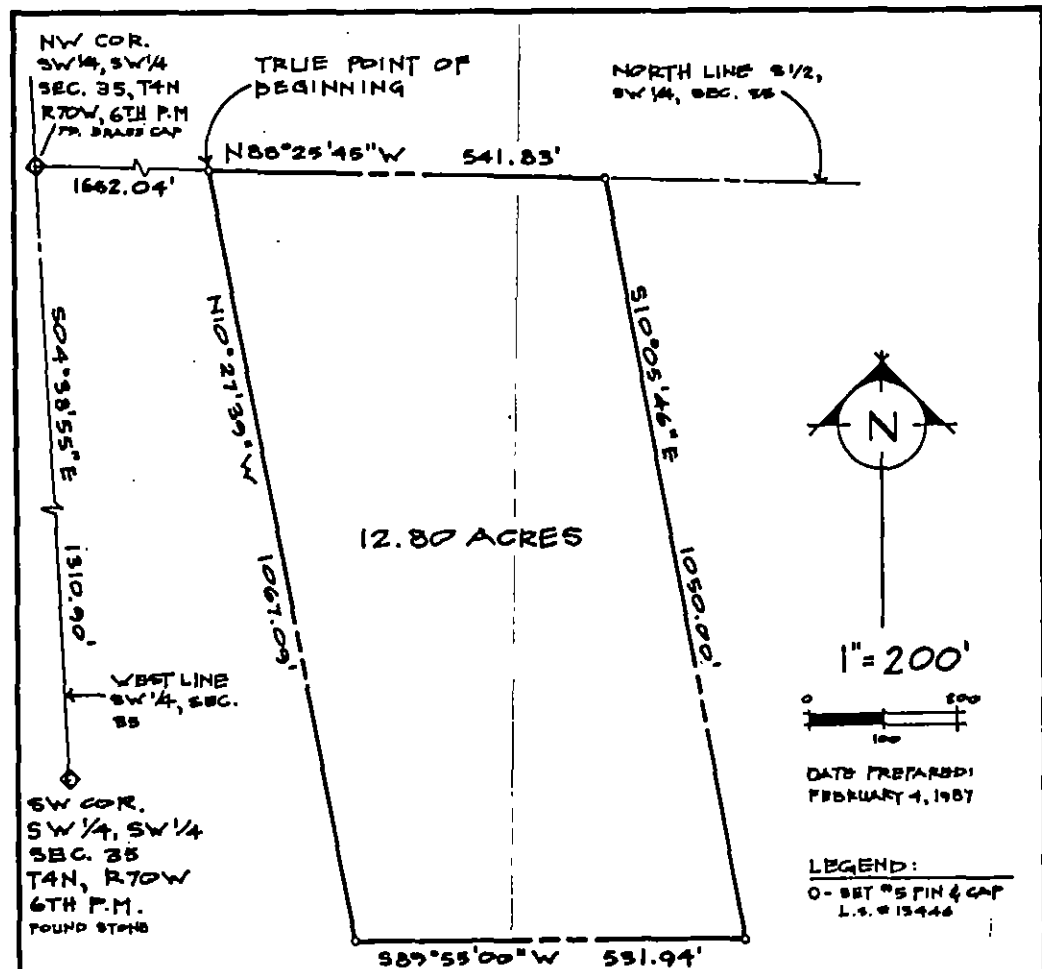
99.84 acres in the W $\frac{1}{2}$  of the NW $\frac{1}{4}$  of Section 36, T4N, R70W described as follows: beginning at a pt. 18 ft. S 0° 10'15" E of the NW corner of Section 36; thence N 86° 06'35" E, 157 ft.; thence N 89° 05'25" E, 463.36'; thence E 1016.35 ft.; thence S 0° 34'25" W, 2681.39 ft.; thence S 89° 29'05" W, 1601.66 ft.; thence N 0° 10'5" W 2677.64 ft. to the pt. or origin.

Affected property in Section 35 will be 151 acres primarily located in the center of said section and the east half of said section excluding the S $\frac{1}{2}$  of the S $\frac{1}{2}$  of said section.

Affected property in Section 36 lies in the W $\frac{1}{2}$  of the NW $\frac{1}{4}$  of said section. This property includes 45 acres.

A buffer zone 200 feet wide which includes 80 acres where no mining will take place begins at the S 1/16 corner of the west section line of Section 35 and follows said section line to the NW corner of Section 35; thence east along the N property line to a point 1636.35 feet east of NE corner of Section 35; thence south 2681.39 ft.; thence west 1601.66 ft. to the E $\frac{1}{4}$  corner of Section 35; thence S 1318.25 ft. to the S 1/16 corner of the east section line of Section 35; thence west 1650 ft. and ends there.

PARRISH LEGAL DESCRIPTION



#### Basis of Bearings:

The West line of the Southwest one-quarter of the Southwest one-quarter of Section 35, Township 4 North, Range 70 West of the 6th Principal Meridian as bearing South 04°38'55" East and monumented as shown.

#### LEGAL DESCRIPTION

That portion of the Southeast one-quarter of the Southwest one-quarter of Section 35, T4N, R70W of the 6th P.M., Larimer County, Colorado described as follows:

Commencing at the Northwest corner of the Southwest one-quarter of the Southwest one-quarter of said Section 35, whence the Southwest corner thereof bears South 04°38'55" East 1310.90 feet; thence along the North line of the South half of the Southwest one-quarter of said Section 35 South 88°25'45" East 1662.04 feet to the True Point of Beginning; thence continuing South 88°25'45" East 541.83 feet; thence South 10°05'46" East 1050.00 feet; thence South 89°55'00" West 531.94 feet; thence North 10°27'39" West 1067.09 feet to the True Point of Beginning, containing 12.80 acres more or less.

#### SURVEYORS CERTIFICATE

I hereby certify that in February, 1987 a survey was made under my direct supervision of that tract of land as shown and that this plat accurately represents the results of said survey to the best of my knowledge and belief.



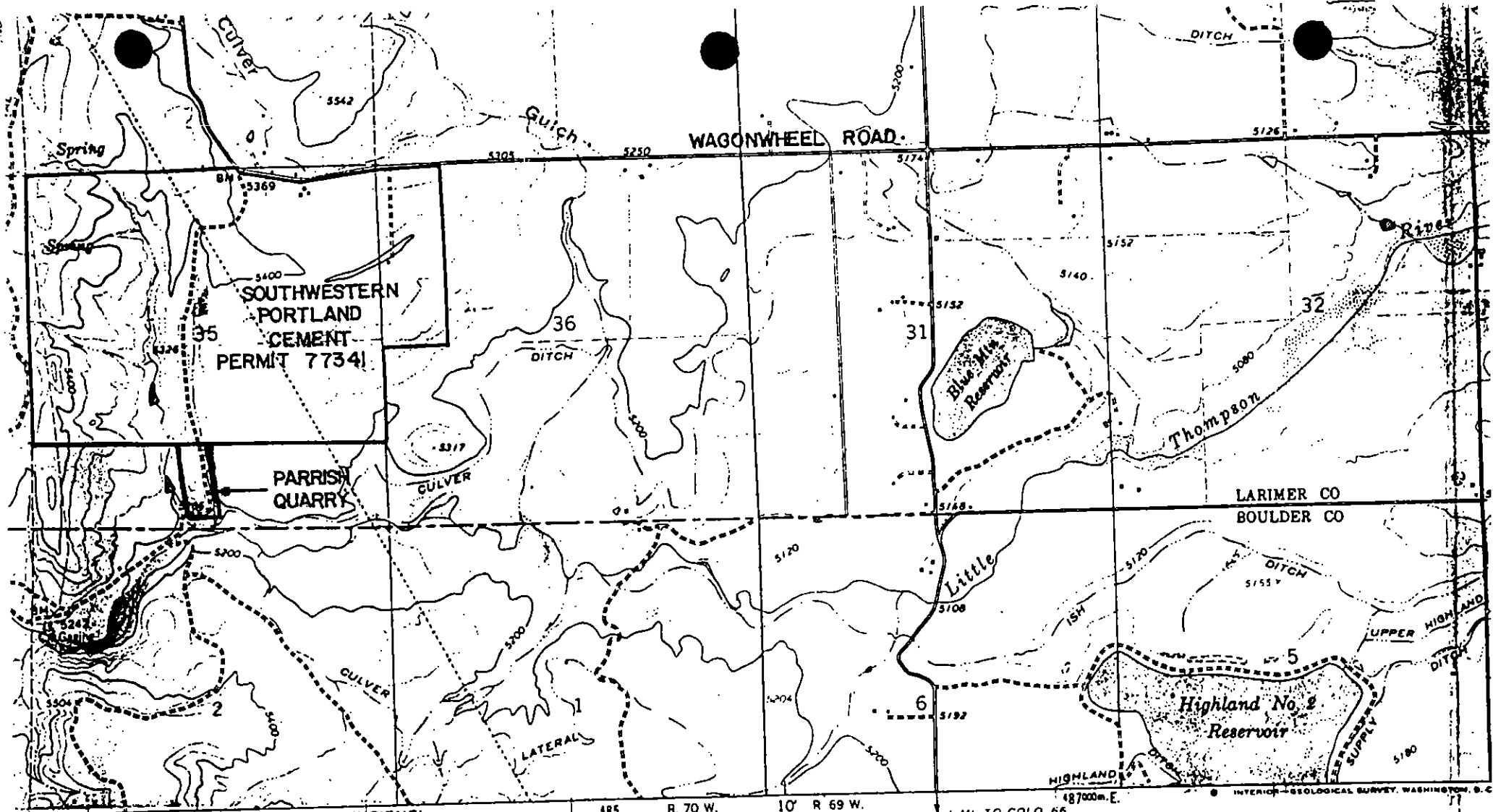
*Robert P. Hamilton*  
Rocky Mountain Consultants, Inc.  
By Robert P. Hamilton, Colorado  
Registered Professional Land  
Survey No. 18982

ROCKY MOUNTAIN CONSULTANTS, INC.  
1980 INDUSTRIAL CIRCLE, SUITE A  
LONGMONT, CO. 80501  
(303) 772-3282 (METRO) 645-8283

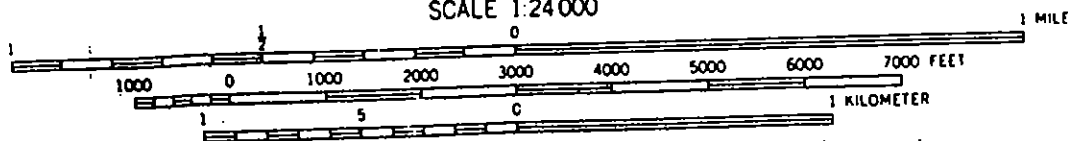
**RMC**

1-8648.008.00

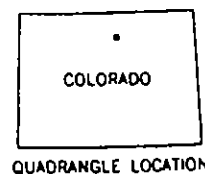




HYGIENE  
4964 11 NW  
SCALE 1:24 000



CONTOUR INTERVAL 40 FEET  
DOTTED LINES REPRESENT 20-FOOT CONTOURS  
DATUM IS MEAN SEA LEVEL



QUADRANGLE LOCATION

ROAD CLASSIFICATION  
Medium-duty ——— Light-duty ———  
Unimproved dirt - - - - -  
○ State Route

CARTER LAKE RESERV  
N4015-W10507.5/7

THIS MAP COMPLIES WITH NATIONAL MAP ACCURACY STANDARDS  
SALE BY U.S. GEOLOGICAL SURVEY, DENVER, COLORADO 80225, OR WASHINGTON, D. C. 20242  
A FOLDER DESCRIBING TOPOGRAPHIC MAPS AND SYMBOLS IS AVAILABLE ON REQUEST

1962  
PHOTOREVISED 197  
AMS 4964 1 SW-SERIES

EXHIBIT "B"

MINING & RECLAMATION PLANS

## MINING PLAN

The Martin Marietta property in Larimer County is zoned "0", Open District, in Section 35, T4N, R70W, and zoned FA-1, Farming District, in Section 36, T4N, R70W. Mines and quarries are allowed in the FA-1 zone, as stated in Section XI on Page 12 of the Zoning Resolution for Larimer County, Colorado. Mines and quarries are allowed in the "0" zone with restrictions, as presented in Section XXI on Page 22 of the Zoning Resolution for Larimer County, Colorado. A copy of the Zoning Resolution is found at the end of this section.

The mining plan for this quarry, located approximately seven miles southwest of Berthoud, Colorado, is very straightforward. The quarry is divided into four segments which are designated Pit A through D. Pits A and B are high grade limestone; whereas, Pits C and D are lower grade limestone.

Pit A is located on an outcrop with the ore body dipping to the south and southeast 16 degrees. The overburden overlying the ore body in this pit consists of (a) 0" to 8" topsoil capable of supporting tough dryland grasses; (b) 0' to approximately 10' of slopewash which is primarily clayey in nature; (c) 0' to 75' of shaley rock. The ore body is 14' to 16' in thickness. Below the ore body lies the codell sandstone formation.

Pit B is located to the west of Pit A and is also situated on an outcrop. The ore body dips to the east 17 degrees. In the south half of this pit, there is little or no overburden with the ore body exposed in many areas. In the north half, the overburden overlying the ore body consists of (a) 0" to 8" topsoil capable of supporting tough dryland grasses; (b) 0' to approximately 10' of slopewash which is clayey in nature; (c) 0' to 75' of shaley rock. The ore body is 14' to 16' in thickness with codell sandstone directly below.

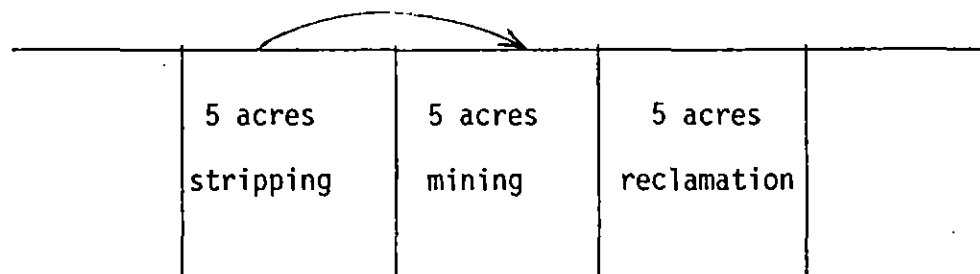
Pit C is located to the south of Pit A and is located on an outcrop. The ore body here is approximately 36' in thickness and dips to the southeast at approximately 16 degrees. The overburden overlying the ore body in this pit consists of (a) 0" to 8" topsoil capable of supporting tough dryland grasses; (b) 0' to 75' of shaley rock. Directly below the ore body lies more shaley rock.

Pit D is similar to Pit C. Pit D is located east of and is adjacent to Pit B. The ore body here is approximately 36' in thickness and dips to the east at 17 degrees. The overburden overlying the ore body in this pit consists of (a) 0" to 8" topsoil capable of supporting tough dryland grasses; (b) 0' to 75' of shaley rock. Directly below the ore body lies more shaley rock.

Overburden is removed with a front end loader and hauled away with trucks. If the situation presents itself, it is merely pushed with a dozer. Some of the waste rock is drilled and blasted before it is hauled to the waste area. The ore is drilled and blasted and hauled to the Martin Marietta Cement plant near Lyons, Colorado, approximately 10 miles away. Drill holes 3" in diameter are drilled with a rotary percussion drill. Loading is accomplished by a 2½ c.y. hydraulic shovel, and hauling is done by highway-type trucks.

Approximately 150,000 tons of ore will be mined through 1978. From then, 100,000 tons of ore will be mined for the duration of the mine. Refer to the timetable and estimated life of the mine at the end of this section.

Pit A is presently being mined. Mining commenced in the northeast corner of the pit located in Section 36 and is proceeding in a south-westerly direction following the outcrop. Only 15 acres are in a stage of development, mining, or reclamation at any one time. Five acres are opened up each year; these five acres extend across the pit perpendicular to the strike of the ore body. When the ore is removed from the five-acre tract, the next five acres are then stripped. The overburden and waste rock are placed into the area vacated by the removal of ore. These five acres are then reclaimed. Consequently, at any one time, five acres are under reclamation, five acres are under mining and five acres are under development. This is a requirement from our Permit to Operate.



From Pit A, mining and development will proceed to Pit B. Here the mining plan is the same. Mining will proceed from north to south. Mining will then proceed to Pit D which will be mined in the same manner as Pits A and B; however, Pit D will be mined from south to north.

After Pit D is mined out, we will go back to Pit C and mine out the western portion of that pit which is located in Section 35. If the ore reserves are needed, we will proceed to the eastern part of Pit C and mine from west to east.

To get the proper perspective, one must observe the mining plan, the timetable, and the pit maps at the same time. It is difficult to portray on a map the various phases because it is an ongoing operation.

The total acres to be mined is approximately 196 acres. Only 15 acres will be disturbed at any one time. Dewatering will be minimal which will be due only to rainfall. Water will be pumped onto the reclaimed area for restoration.

Work in Pits A through D all come under the heading of major disturbance; however, as work progresses, the major disturbance tones down to a moderate disturbance and then to a minor disturbance before reclamation is complete.

Marr

## RECLAMATION PLAN

The primary objective for the reclamation plan for the Martin Marietta Cement Larimer County quarry is to put the land back to as near the original land use as possible. The surrounding land is agricultural, made up of dryland pasture. We will restore the mining area to a dryland pasture environment.

The total area to be mined is approximately 196 acres. Only 15 acres will be disturbed at any one time, according to the requirements of the Permit to Operate found in Exhibit "M". The reclamation will take place in conjunction with the mining plan and according to the timetable found in Exhibit "D", and the reclamation map found in Exhibit "F".

All the pits will be mined and reclaimed in the same manner. Overburden will be stripped from a five-acre panel and placed into a mined-out panel five acres in size. Once the mined-out panel is filled, it will be topped with six to ten inches of topsoil, seeded and fertilized. All slopes will be one foot vertical to three feet horizontal or less. Sloping and final grading will be done with a dozer. Seeding will be accomplished with a drill and farm tractor.

A dryland mix will be utilized in the seeding operation and applied at 25 pounds to 75 pounds per acre. Ammonium nitrate fertilizer will be applied at a rate of 200 to 300 pounds per acre to facilitate growth. A portable sprinkling system is available to hook up to the water tap or quarry pump to initiate vegetation growth. The following is a breakdown of the seed variety:

### Dryland Mix

- 39% winter rye
- 13% ranger alfalfa
- 9% smooth broom
- 8% intermediate wheat grass
- 7% slender wheat grass
- 8% Nordan crested wheat grass
- 6% Russian wild rye
- 10% Jose tall wheat grass

To comply with Rule 6, Reclamation Performance Standards, the following statements will be according to the Rule 6 outline:

#### 6.1 Grading

- a) All mined out areas will be backfilled. The land will not be backfilled with any toxic material. The material is compacted with the heavy equipment utilized in the mining operation.
- b) All grading is done on a slope of 2 horizontal to 1 vertical or less.
- c) The backfilling and grading is done as soon as practical after the mining process. The timetable for completion is found in Exhibit "D".
- d) No acid-forming or toxic-producing materials are mined at this site.
- e) There are no adits, shafts, or drill holes in the mining operation.
- f) All slopes are less than 2 horizontal to 1 vertical. There will be no proposed swimming areas and lakes.
- g) All the land will be reclaimed for pastureland.

#### 6.2 Water

- a) The water we discharge is all runoff and is not used as process water. All water discharge into any waterways is monitored and tested and discharged under an EPA permit.
- b) There will be no earth dams to impound water.

#### 6.3 Wildlife

- a) Refer to Exhibit "H", Wildlife Information.

#### 6.4 Topsoiling

- a) Topsoil is stripped off and stockpiled for later use. Natural vegetation has come up and covered the piles.
- b) There are virtually no trees to speak of in the mining area.
- c) Stockpiles of topsoil are located on affected land.
- d) Topsoil stockpiles are only rehandled once. They are not compacted except to the extent of when they are being built by heavy machinery.
- e) The slopes are graded to insure stability and prevent erosion.
- f) Topsoil used is the only material available.
- g) Topsoil is spread in 4" to 6" layers and fertilizer applied when seeding is done.
- h) There is no vegetative growth to be removed; consequently, no piles are made.

#### 6.5 Revegetation

- a) Revegetation is accomplished by a grass mixture designed by Colorado State University.
- b) Forest planting is not part of the reclamation plan.
- c) All of the land will be restored to range, and all slopes are 2 horizontal to 1 vertical or less.
- d) The seed mixture being used in the reclamation plan has been very successful to date and has a high probability of success.
- e) The reclamation sites are prepared and graded by heavy equipment and then seeding and fertilizing are accomplished by a drill and farm tractor.
- f) Noxious weeds are sprayed annually on all parts of the property.
- g) There are plenty of access roads to all location of the property.



OPERATIONS SUMMARY

### Development Summary

The original mining and reclamation plan for the Southwestern Portland Cement Larimer County quarry was approved by the Bureau of Mined Land Reclamation and issued Permit No. 77341 in 1977. Mining has taken place under the approved plan since that time.

The property was zoned "O", Open District, by the Board of County Commissioners as noted in the Comprehensive Zoning Resolution for Larimer County, dated October 24, 1963. Mines and quarries are allowed in the "O" zone with certain restrictions.

Mining has taken place strictly in Pit "A" since the conception of the operation. Limestone extraction in this pit will conclude in late 1987 or early 1988. Reclamation is approximately 75 percent complete, with the remainder to be completed in 1988 after mining is complete. When mining is complete, it will be necessary to proceed to Pit "B".

The original plan called for mining Pit "B" from north to south. This technical revision requests mining from south to north and to include: (1) 12.8 acres directly south of the permitted property, lying on the Pit "B" outcrop and (2) a 200' wide strip on the south end of the Southwestern property which was previously designated as a buffer zone. This will provide one continuous pit.

By mining limestone from this projection, the original mining and reclamation plan will be enhanced. Mining will proceed from south to north at a rate of approximately 400 feet per year. It will take two and one-half to three years to mine the Parrish Quarry and return to the Southwestern property. An access road to the adjoining property owners has been relocated to the east. Drainage down the natural drainway will be maintained. Since there is little to no soil on this outcrop to support vegetation, only a small amount of overburden will be placed on the slopes for reclamation purposes. All mining and reclamation will be done in accordance with the original mining plan.

MINING OPERATION CRITERIA FOR ZONING REQUESTS

| <u>Criteria</u>                                               | <u>Compliance</u>                                                                                                                  |
|---------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| 1. Existing and proposed access to nearest public road.       | Privately constructed haul roads access into Wagonwheel Road.                                                                      |
| 2. Location and type of all equipment and operations on site. | There is no processing equipment on site. Mobile mining equipment is operated and maintained on site.                              |
| 3. Type and weight of all trucks.                             | 18-wheel semis - 90,000 lb. gross weight. 25T payload.                                                                             |
| 4. Frequency of trips to site.                                | 60 round trips per day - Monday-Friday year-round.                                                                                 |
| 5. Travel route.                                              | From site - east 2 miles on Wagonwheel Road, then south 6 miles to Highway 66, then west 4 miles to cement plant.                  |
| 6. Impact of trucks on road.                                  | There will be no additional impact. These trucks have been hauling the same amount since 1974. There will be no additional trucks. |
| 7. Hours and days of operation.                               | Operation will be during daylight hours, Monday through Friday year-round.                                                         |
| 8. Disposal of overburden, waste or rubble.                   | Overburden will be placed over mined out area and reseeded for reclamation.                                                        |

Criteria

9. Residences within 1000 feet of mine.

10. Proposed time schedule for mining and reclamation.

11. Plans for minimizing dust and noise.

12. Landscaping that is proposed.

13. Associated processing that will occur.

14. Frequency of blasting.

Compliance

A. Jesse L. & Donna L. Parrish  
2515 Parrish Rd.  
Berthoud, CO 80513

B. Ronald & Mary Alverson  
2620 Parrish Rd.  
Berthoud, CO 80513

Mining will commence in 1988 and be completed by 1992. Reclamation will follow the mining and be completed in 1993.

Dust will be controlled by watering roads with a water truck. There will be no more noise than exists now.

The mined out area will be returned to the original contour and seeded with dryland grasses.

There will be no processing of materials at this site.

There will be approximately 25 blasts per year, spread out over the entire year.

ESTIMATED "LIFE SPAN" VARIOUS AREAS

| <u>Area</u> |              | <u>Projected Mining<br/>Dates</u> | <u>Projected<br/>Reclamation Completion</u> |
|-------------|--------------|-----------------------------------|---------------------------------------------|
| Pit A       | Waste<br>Ore | 1973-1988<br>1974-1988            | 1989                                        |
| Pit B       | Waste<br>Ore | 1991-2001<br>1991-2001            | 2005                                        |
| Parrish     | Waste        | 1988-1991<br>1988-1991            | 1992                                        |

PARRISH AGREEMENT

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MINING LEASE AND ROYALTY AGREEMENT

This mining lease and royalty agreement is made and entered into this 2nd day of February, 1987 by and between Southwestern Portland Cement Company (Southwestern), a Delaware corporation, and Jesse L. Parrish and Donna L. Parrish (Lessors).

The above mentioned parties are desirous of entering into this Mining Lease and Royalty Agreement involving the property hereinafter described in accordance with the terms set forth;

In consideration of the covenants, terms and agreements herein specified, the Lessors hereby lease to Southwestern certain property and mining rights hereinafter described as the subject property.

SUBJECT PROPERTY

1. Southwestern and the Lessors agree that the property subject to this Mining Lease and Royalty Agreement includes the following:

(a) The interest in the fee simple property more particularly identified and described in Exhibit "A", attached hereto and by this reference incorporated herein;

(b) All <sup>Lime Stone</sup> mineral rights now or hereafter located by any of the parties hereto, embraced within the exterior boundaries of the property described in Exhibit "A"; and <sup>Cement manufacturing</sup>



(c) Any and all rights, title and interest of the Lessors in and to any and all veins, lodes or mineral deposits extending from, into or contained in the subject property, and also all right-of-way, easement, water rights, tenements, privileges and appropriations of every kind and nature, in any way pertaining to any of the subject property.

2. In the event the Lessors execute an agreement or option to acquire additional limestone property adjacent to or in the immediate vicinity of the subject property, the Lessors hereby agree to assign such agreement or option to Southwestern if requested to do so by Southwestern.

#### TERM OF LEASE

The term of this Mining Lease and Royalty Agreement shall commence February 2, 1987 and end at which time Southwestern will have extracted all limestone and any other minerals from the property described in Exhibit "A" attached hereto.

#### MINING LEASE RIGHTS

Southwestern is hereby granted the following lease rights:

1. During the duration of this agreement, Southwestern shall have the exclusive right to enter upon, explore, examine, investigate, survey, map, test and sample the subject property, and to carry on geophysical, geochemical and geological work with respect thereto.

(e) That to their best knowledge and belief there are no conflicting or adverse claims involving his title to said property and that he has the right to mine the minerals; and

(f) That said property is free and clear of all liens, claims, or encumbrances of any type or nature, caused or created by the Lessors.

*out  
subordination  
of this interest*

2. Assignment. Any sale or assignment of any interest in the subject property made by the Lessors, or their successors in interest, shall be subject to the terms of this agreement, and all covenants and conditions shall be deemed to be covenants running with the subject property and with the transfers or assignment thereof.

3. Taxes and fees. The Lessors covenant and agree to pay all taxes levied or assessed on the property described in Exhibit "A", owned by the Lessors, including all real property taxes, and all other taxes and assessments which may be levied on the subject property.

The Lessors also agree to pay such other fees, taxes and assessments as are imposed upon the subject property by any governmental authority or required to be paid in order to maintain the Lessors's title to the property and any related mining rights.

#### PLANT AND EQUIPMENT

1. Placement Rights. Southwestern, its agents and its subcontractors shall have the right to place in and upon the subject property such machinery and equipment as may be reasonably necessary and convenient to the operation of the mining enterprise herein contemplated.

2. Removal Rights. If this agreement is terminated for any reason, or by voluntary surrender, upon sixty (60) days written notice by Southwestern mailed to the Lessors at their last known address, Southwestern or its agents or subcontractors shall thereafter have six (6) months in which to dismantle and remove any and all of such machinery, mining equipment and improvements, except existing ground support will not be removed.

3. Failure to Remove. In the event Southwestern does not dismantle and remove any and all such machinery, mining equipment and improvements, any equity, right, title and interest which Southwestern has therein, at the option of the Lessors, shall vest in the Lessors and thereafter Southwestern shall have no further right thereto.

#### LESSEE'S OBLIGATIONS

1. Assessment. Southwestern covenants and agrees to obtain a mining permit from the State of Colorado before initiating mining operations on the property. In no event, however, shall Southwestern be liable for any royalties or the loss of any mining rights for failure to obtain a mining permit provided that Southwestern has performed the work necessary to obtain the permit in accordance with all generally accepted principals and practices of the mining industry and which it reasonably in good faith believed it could obtain.

2. Hold Harmless. Southwestern covenants and agrees to hold the Lessors harmless from any and all damages, claims, costs and expenses arising from or growing out of any and all injuries to persons or property in connection with the work done by Southwestern or its subcontractors on the subject property during the term of this agreement, other than injuries to persons or property used in the exercise of the right reserved by the Lessors to inspect the property and to use the property for ingress and egress.

3. Manner of Operations. Southwestern shall conduct its operations in a good and miner-like fashion and in accordance with the laws, rules and regulations of any governmental authorities, and in the event this agreement is terminated, Southwestern will fence all excavations which may be hazardous to persons or property.

4. Ingress and Egress of Parrish. From the date of this agreement, Southwestern or its agents, assignees or subcontractors shall have the right of immediate entry and possession of the subject property; provided, however, that the Lessors or their agents shall have the right to enter in upon said property at all reasonable times for the purposes of inspection to determine that the terms of this agreement are being performed.

#### LAWS, REGULATIONS AND FORCE MAJEURE

1. Laws and Regulations. This agreement shall be subject to all applicable Federal, State and local laws, ordinances, rules and regulations.

2. Force Majeure. If Southwestern is prohibited or prevented by a force majeure, in a significant or substantial manner, from conducting mining operations on the subject property for a period of thirty (30) days or more, the lease period shall be extended by the period of any such force majeure.

For purpose of this agreement, "force majeure" shall include, without limitation, any fire, flood, lightning, earthquake, storm, washout, abnormally severe weather, civil or military authority, insurrection, riots, strikes, lockouts, acts of God, scarcity or inability to obtain a permit or license after reasonably diligent efforts, any act or failure to act by any governmental authority such as enactment or enforcement of any law, ordinance, rule or regulation, litigation, restraint, or court order, or any other cause beyond Southwestern's reasonable control.

All periods of force majeure shall be deemed to begin at the time the commencement or continuance of Southwestern's operation or activity is suspended, prohibited or prevented in whole or in substantial part by reason of force majeure.

#### GOVERNING LAW

This agreement shall be construed and enforced in accordance with the laws of the State of Colorado.

#### INTEGRATION

This agreement constitutes the entire agreement between the parties hereto and supersedes all other agreements, understandings and representations made prior relative to this agreement. No amendment hereof shall be binding on any party hereto unless and until approved in writing by each party hereto.

NOTICES

1. Manner. All notices, elections, reports or other correspondence required or permitted under this agreement shall be given in writing personally to the party to whom it is directed, or it may be given or transmitted by certified or registered United States mail and addressed to the party entitled to such notice, election, report, etc., as follows:

|              |                                      |
|--------------|--------------------------------------|
| Southwestern | Southwestern Portland Cement Company |
|              | Mountain Division                    |
|              | Lyons Plant                          |
|              | P.O. Box 529                         |
|              | Lyons, Colorado 80540                |

|             |                                       |
|-------------|---------------------------------------|
| The Lessors | Jesse L. Parrish and Donna L. Parrish |
|             | 2515 Parrish                          |
|             | <i>J.P. go</i>                        |
|             | <i>BERTHOLD</i>                       |
|             | Bertha, Colorado 80513                |

EFFECTIVE DATE AND TERM

This agreement becomes effective on the date it is signed by the parties hereto.

IN WITNESS WHEREOF, the parties hereto have executed this MINING LEASE AND ROYALTY AGREEMENT on the day and year first above written.

Southwestern Portland Cement Company

By : Elroy D. Cook

Its: Plant Manager  
(Name of authorized person)

Jesse L. Parrish

Donna L. Parrish

as joint tenants

By: Jesse L. Parrish, - Donna L. Parrish  
(Name of authorized person)

ATTEST:

Robert M. Broderick 2/10/87  
Notary Public  
~~Secretary~~  
My Commission Expires 1/27/90

EXHIBIT "A"

This Exhibit "A" is attached to and made a part of the Mining Lease and Royalty Agreement executed and made effective as of the 2nd day of February, 1987, by Southwestern Portland Cement Company and Jesse L. Parrish and Donna L. Parrish.

1. Fee simple Property legally described as:

That portion of the Southeast one-quarter of the Southwest one-quarter of Section 35, T4N, R70W, of the 6th P.M., Larimer County, Colorado described as follows:

Commencing at the Northwest corner of the Southwest one-quarter of the Southwest one-quarter of said Section 35, whence the Southwest corner thereof bears South 04°38'55" East 1310.90 feet; thence along the North line of the South half of the Southwest one-quarter of said Section 35 South 88°25'45" East 1662.04 feet to the True Point of Beginning; thence continuing South 88°25'45" East 541.83 feet; thence South 10°05'46" East 1050.00 feet; thence South 89°55'00" West 531.94 feet; thence North 10°27'39" West 1067.09 feet to the True Point of Beginning, containing 12.80 acres more or less.



FARM CREDIT AGREEMENT

RECEIVED

MAY 4 1987

LYONS PLANT

Richard K. Carlisle  
Director - Mineral Services



Farm Credit Services  
245 North Waco, P.O. Box 2940  
Wichita, Kansas 67201-2940  
316/266-5474

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The Farm Credit System  
Serving Kansas, Oklahoma, Colorado and New Mexico

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MINING LEASE AND ROYALTY AGREEMENT

This mining lease and royalty agreement is made and entered into this 2nd day of February, 1987 by and between Southwestern Portland Cement Company (Southwestern), a Delaware corporation, and the Federal Land Bank of Wichita (Lessor).

The above mentioned parties are desirous of entering into this Mining Lease and Royalty Agreement involving the property hereinafter described in accordance with the terms set forth for the express purpose of mining limestone suitable for the manufacture of cement;

In consideration of the covenants, terms and agreements herein specified, the Lessor hereby lease to Southwestern certain property and mining rights hereinafter described as the subject property.

SUBJECT PROPERTY

1. Southwestern and the Lessor agree that the property subject to this Mining Lease and Royalty Agreement includes the following:

(a) The interest in the fee simple property more particularly identified and described in Exhibit "A", attached hereto and by this reference incorporated herein;

(b) All mineral rights excluding oil, coal, gas, uranium and gold now or hereafter located by any of the parties hereto, embraced within the exterior boundaries of the property described in Exhibit "A"; and

(c) Any and all rights, title and interest of the Lessor in and to any and all veins, lodes or mineral deposits extending from, into or contained in the subject property, and all right-of-way, easement, water rights, tenements, privileges and appropriations of every kind and nature, in any way pertaining to any of the subject property.

(d) All other minerals mined and separated from materials utilized in the manufacture of cement shall be subject to a separate agreement.

#### TERM OF LEASE

The term of this Mining Lease and Royalty Agreement shall commence February 2, 1987 and end at which time Southwestern will have extracted all limestone from the property described in Exhibit "A" attached hereto. In no event shall this agreement extend more than ten (10) years, unless the property is being utilized for the mining of limestone at that time.

## LESSEE'S OBLIGATIONS

1. Assessment. Southwestern covenants and agrees to obtain a mining permit from the State of Colorado before initiating mining operations on the property. In no event, however, shall Southwestern be liable for any royalties or the loss of any mining rights for failure to obtain a mining permit provided that Southwestern has performed the work necessary to obtain the permit in accordance with all generally accepted principals and practices of the mining industry and which it reasonably in good faith believed it could obtain.

2. Reclamation. Southwestern shall restore the surface of the property in accordance with all appropriate state and federal laws.

3. Manner of Operations. Southwestern shall conduct its operations in a good and miner-like fashion and in accordance with the laws, rules and regulations of any governmental authorities.

## LAWS, REGULATIONS AND FORCE MAJEURE

1. Laws and Regulations. This agreement shall be subject to all applicable Federal, State and local laws, ordinances, rules and regulations.

2. Force Majeure. If Southwestern is prohibited or prevented by a force majeure, in a significant or substantial manner, from conducting mining operations on the subject property for a period of thirty (30) days or more, the lease period shall be extended by the period of any such force majeure.

For purpose of this agreement, "force majeure" shall include, without limitation, any fire, flood, lightning, earthquake, storm, washout, abnormally severe weather, civil or military authority, insurrection, riots, strikes, lockouts, acts of God, scarcity or inability to obtain a permit or license after reasonably diligent efforts, any act or failure to act by any governmental authority such as enactment or enforcement of any law, ordinance, rule or regulation, litigation, restraint, or court order, or any other cause beyond Southwestern's reasonable control.

All periods of force majeure shall be deemed to begin at the time the commencement or continuance of Southwestern's operation or activity is suspended, prohibited or prevented in whole or in substantial part by reason of force majeure.

#### GOVERNING LAW

This agreement shall be construed and enforced in accordance with the laws of the State of Colorado.

#### INTEGRATION

This agreement constitutes the entire agreement between the parties hereto and supersedes all other agreements, understandings and representations made prior relative to this agreement. No amendment hereof shall be binding on any party hereto unless and until approved in writing by each party hereto.

NOTICES

1. Manner. All notices, elections, reports or other correspondence required or permitted under this agreement shall be given in writing personally to the party to whom it is directed, or it may be given or transmitted by certified or registered United States mail and addressed to the party entitled to such notice, election, report, etc., as follows:

|              |                                                                                                                   |
|--------------|-------------------------------------------------------------------------------------------------------------------|
| Southwestern | Southwestern Portland Cement Company<br>Mountain Division<br>Lyons Plant<br>P.O. Box 529<br>Lyons, Colorado 80540 |
|--------------|-------------------------------------------------------------------------------------------------------------------|

|        |                                                                                                                          |
|--------|--------------------------------------------------------------------------------------------------------------------------|
| Lessor | Federal Land Bank of Wichita<br>c/o Farm Credit Service<br>245 North Waco<br>P.O. Box 2940<br>Wichita, Kansas 67201-2940 |
|--------|--------------------------------------------------------------------------------------------------------------------------|



NOTICES

1. Manner. All notices, elections, reports or other correspondence required or permitted under this agreement shall be given in writing personally to the party to whom it is directed, or it may be given or transmitted by certified or registered United States mail and addressed to the party entitled to such notice, election, report, etc., as follows:

|              |                                      |
|--------------|--------------------------------------|
| Southwestern | Southwestern Portland Cement Company |
|              | Mountain Division                    |
|              | Lyons Plant                          |
|              | P.O. Box 529                         |
|              | Lyons, Colorado 80540                |

|        |                              |
|--------|------------------------------|
| Lessor | Federal Land Bank of Wichita |
|        | c/o Farm Credit Service      |
|        | 245 North Waco               |
|        | P.O. Box 2940                |
|        | Wichita, Kansas 67201-2940   |

EFFECTIVE DATE AND TERM

This agreement becomes effective on the date it is signed by the parties hereto.

IN WITNESS WHEREOF, the parties hereto have executed this MINING LEASE AND ROYALTY AGREEMENT on the day and year first above written.

Southwestern Portland Cement Company

By : *Susan A. Jasmussen*  
(Name of authorized person)

Its: DIVISION CONTROLLER

Federal Land Bank of Wichita

By: *Richard E. Carlisle*  
(Name of authorized person)



\_\_\_\_\_  
Director-Mineral Services

ATTEST:

*Kendal Pulliam*  
Secretary  
Kendal Pulliam

EXHIBIT "A"

This Exhibit "A" is attached to and made a part of the Mining Lease and Royalty Agreement executed and made effective as of the 2nd day of February, 1987, by Southwestern Portland Cement Company and the Federal Land Bank of Wichita.

1. Fee simple Property legally described as:

That portion of the Southeast one-quarter of the Southwest one-quarter of Section 35, T4N, R70W, of the 6th P.M., Larimer County, Colorado described as follows:

Commencing at the Northwest corner of the Southwest one-quarter of the Southwest one-quarter of said Section 35, whence the Southwest corner thereof bears South 04°38'55" East 1310.90 feet; thence along the North line of the South half of the Southwest one-quarter of said Section 35 South 88°25'45" East 1662.04 feet to the True Point of Beginning; thence continuing South 88°25'45" East 541.83 feet; thence South 10°05'46" East 1050.00 feet; thence South 89°55'00" West 531.94 feet; thence North 10°27'39" West 1067.09 feet to the True Point of Beginning, containing 12.80 acres more or less.

OPERATIONS MAP